

Meeting of the Board of the Central Bank of Armenia
Minutes on Refinancing Rate
(02.05.2023)

The Central Bank of Armenia Board meeting of May 2, 2023 attended by Governor Martin Galstyan, Deputy Governors Armen Nurbekyan and Hovhannes Khachatryan, and Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Artak Manukyan, Levon Sahakyan, and Narek Ghazaryan

The meeting of the Board of the Central Bank of Armenia started with presentation of the Situation Report as of May 2, 2023. The inflation, external environment, and real, fiscal, financial and monetary sector developments were addressed.

Current developments in the external sector were presented. It was noted that in the first quarter of 2023, the trends of slow economic growth in the world and Armenia's partner countries continued, including in light of the structural changes in the economies. The reopening of China's economy following pandemic restrictions is contributing to certain acceleration of the global growth and mitigation of the inflation environment as the supply of a number of commodities rebounds. It was estimated that the problems arisen in the US banking system are not systemic in nature and will not have significant macroeconomic effects. At the same time, in the wake of tight monetary conditions in developed countries, as well as increasing uncertainty in financial markets, tightening of international financial conditions was demonstrated. Under the influence of the latter, a decrease in prices is observable in international commodity markets. However, the overall global inflation environment remains elevated, driven by a still strong demand and pressures from the labor market. Under these conditions, it was estimated, central banks of the partner countries to Armenia will further pursue a policy of monetary tightening. As a result of such actions, the global demand will gradually weaken and prices in international commodity markets will decrease to some extent, also helping the global inflation environment to subdue. In view of all this, it was estimated that the inflationary effects transmitted from the external sector to the Armenian economy would weaken.

The Board discussed the developments of the Armenian economy, noting that high economic activity persisted over the first quarter of 2023 mainly thanks high growth recorded in services and construction sectors. The high growth in services is largely attributable to the accommodation and public catering grown on the account of strong external demand. Much growth has been observable in transport segment owing to the increased air ticket sales. In the first quarter, large capital and labor inflows continued, along with reported activity of entry and exit to/from Armenia, pointing to the further boost in tourism. It was noted that the aggregate demand remains high driven by the mentioned factors and continued income growth in the Armenian economy.

The developments of the Armenian financial market were addressed; it was stated that in the first quarter of 2023 the banking system's demand for liquidity provision through the main instrument of the Central Bank has somewhat reduced. However, short-term interest rates in the market shaped largely around the policy rate. During the past 4 months of the year, on the back of a persisting large inflow of capital and continued growth of tourism, the dram appreciated in the currency market. It was also noted that under a stressful situation in the US banking system, the Republic of Armenia risk-premium has increased slightly, shaping around a long-term sustainable level.

The Board touched upon the inflation developments, stating in this context that 0.7% deflation was registered in March of 2023 due entirely to a 1.9% drop in prices of food products. Prices of non-food products and services tariffs increased during the month by 0.2% and 0.4%, respectively. **As a result, the 12-month inflation reduced sharply to 5.4% at the end of the month. The 12-month core inflation also followed a decline path, down to 6.4%.** Furthermore, the Board admitted that the overall inflation environment in Armenia continued mitigating as a result of the contractionary monetary policy implemented by the Central Bank, the dram appreciation and the weakening inflationary impact from the external sector, while also stating that persisting high demand and inflation expectations still facilitate high growth of wages and prices of individual goods and service tariffs.

Following the discussion of the Situation Report and the macroeconomic developments in external and domestic sectors, the Board proceeded to discuss the macroeconomic scenarios and monetary policy directions and making decision on the policy interest rate. In view of the aforementioned macroeconomic situation, the Policy Development Team proposed to the Board scenarios describing possible monetary risks derived from upcoming economic development outlooks. The Board members were unanimous that, on the one hand, the inflationary effects transmitted from the external sector to the Armenian economy kept on weakening and, on the other hand, there was still strong demand and high inflation expectations in the Armenian economy. The Board noted that a significant decline in the 12-month inflation is expected in the near future determined by deflationary patterns observable on imported food products on the one hand, and by high prices in the same period of the previous year, on the other. So, if such trends come along as far as the inflation expectations diminish and the deflationary effects of exchange rate appreciation linger in the light of a large-scale influx of capital, risks to low inflation in the upcoming period may emerge. At the same time, in spite of the expected decline in overall inflation, wages and prices of a number of goods and services that stand out with rigid prices still grow at high rates, also pinpointing a persistently high aggregate demand. Therefore, even if the 12-month inflation slows in the short run, future inflationary risks are still not completely contained. By addressing the above risks, the Board reiterated the consistency of action to handling future inflationary risks and finally overcoming the inflation. As a result, the **Board of the Central Bank of Armenia decided unanimously to leave the refinancing rate unchanged.** The Board also endorsed its commitment in taking adequate measures to further regulate demand and stabilize inflation expectations. As outlined by the monetary policy scenario, the 12-month inflation will decrease rapidly; it will stand below the target value in the near future and stabilize around the 4% target in the medium run.

The Board of the Central Bank estimated that the risks of inflation deviating from the projection path are mostly balanced. In case the risks materialize in any direction, the Board will react adequately and ensure the goal of price stability.

The Board approved the decision on interest rates of the CBA monetary instruments and the proposed press release, which are attached hereto.

Deciding on the interest rate

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**On Setting Interest Rates of Monetary Policy Instruments of the Central Bank of Armenia, and
Press Release on Refinancing Rate**

By virtue of Article 2 (3), Article 20 “c” and “e” of the Republic of Armenia Law on the Central Bank, and clauses of the Republic of Armenia Law on Normative Regulations, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Set the Refinancing Rate of the Central Bank of the Republic of Armenia to be 10.75%.
2. Set the Lombard Repo Facility Rate offered by the Central Bank of the Republic of Armenia to be 12.25%.
3. Set the Deposit Facility Rate offered by the Central Bank of the Republic of Armenia to be 9.25%.
4. Approve the Press Release on Refinancing Rate of the Central Bank of the Republic of Armenia (attached).
5. This decision to take effect on the day following its publishing on Internet homepage of the Central Bank of the Republic of Armenia.

Martin Galstyan,

**Governor of the Central Bank
of the Republic of Armenia**

c. Yerevan

PRESS RELEASE
02.05.2023

At the May 2, 2023 meeting, the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at 10.75%.

In March 2023, the 12-month inflation decreased sharply to 5.4% at the end of the month. The 12-month core inflation has also decreased considerably, reaching 6.4%.

In the first quarter of 2023, slow economic growth rates around the world and in the main partner countries of Armenia persisted. The problems in the US banking system are not expected to be systemic in nature and will not have significant macroeconomic effects. The 12-month inflation continues to decrease in Armenia's partner countries, yet the overall inflation environment remains elevated due to sustained high demand and the pressures from the labor market. The central banks of partner countries will, therefore, continue to tighten monetary conditions in the near future. Tight international financial conditions are contributing to lower prices in commodity markets. As a result, the inflationary effects of the global economy on the Armenian economy continue weakening.

Strong economic activity in Armenia persisted in early 2023, which was driven by services and construction sectors. Aggregate demand remains high amid continued large inflows of capital and labor, strong recovery of tourism, and increased income in the Armenian economy. Contractionary monetary policy, appreciation of the dram and weakened inflationary effects from the external sector resulted in the decreasing of the 12-month inflation in Armenia. However, strong demand and inflation expectations are still contributing to high inflation of wages and of certain product groups and services.

The Board of the Central Bank of Armenia decided to leave the policy rate unchanged.

The Board will be committed to stabilize demand and inflation expectations. According to the outlined monetary policy scenario, the 12-month inflation will decrease rapidly below the target in the near term and will stabilize around the 4% target in the medium term.

The Board of the Central Bank of Armenia estimates that the risks of inflation deviation from the projected path are mostly balanced; in the event these risks materialize in any direction, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

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